Tools and Technologies to Fight Financial Crime

Domain D Complete Q&A Review

Understanding the *Regulatory Principles* Behind Each Answer

Compliance Training Department

Agenda Domain D Topics

1. Tools Across Customer Lifecycle (Q1-Q4)
2. Data Quality, Integrity, Access, Definitions (Q5-Q8)
3. Customer Experience and Friction (Q9-Q12)
4. Onboarding Digital KYC, E-KYC, Biometrics (Q13-Q16)
5. Onboarding External Data Sources (Q17-Q20)
6. Onboarding Name/Sanctions Screening (Q21-Q24)
7. Ongoing Periodic Refresh and Perpetual KYC (Q25-Q28)
8. Ongoing Adverse Media Screening (Q29-Q32)
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10. Ongoing Transaction/Payment Screening (Q37-Q40)
11. Ongoing Rules-Based TM and Scenario Tuning (Q41-Q44)
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14. Ongoing Network Analysis Tools (Q53-Q56)
15. Privacy and Data Protection Technologies (Q57-Q60)
16. Choosing and Integrating AFC Tools (Q61-Q64)
17. Operational Effectiveness and Resource Prioritization (Q65-Q68)

Q1: Tools Across Customer Lifecycle

Topic: Tools Across Customer Lifecycle

What tools are available to implement controls across the customer lifecycle?

Correct Answer: Onboarding tools (KYC, screening), ongoing monitoring tools (transaction monitoring, periodic reviews), and exit controls (offboarding, account closure).

Core Concept: The customer lifecycle has three phases:
Onboarding: Digital KYC, E-KYC, biometrics, sanctions screening.
Ongoing: Transaction monitoring, periodic reviews, perpetual KYC.
Exit: Offboarding controls, account closure, FIU liaison.

× **Common Trap:** "AML tools are only needed at onboarding" INCORRECT. Controls must be applied **throughout** the lifecycle.

Key Insight: The lifecycle approach ensures **continuous** compliance.

Q2: Onboarding Tools

Topic: Onboarding Tools

What tools are used at customer onboarding for AFC compliance?

Correct Answer: Digital identity verification, biometric authentication, sanctions screening, PEP screening, and adverse media checks.

Key Insight: Onboarding is the **critical first line** of defense.

Q3: Ongoing Monitoring Tools

Topic: Ongoing Monitoring Tools

What tools are used for ongoing AFC monitoring?

Correct Answer: Transaction monitoring systems, periodic KYC refresh, perpetual KYC, and adverse media screening.

Key Insight: Ongoing monitoring detects **evolving** risks.

Q4: Exit Controls

Topic: Exit Controls

What controls apply when exiting a customer relationship?

Correct Answer: Offboarding procedures, account closure protocols, and liaison with FIUs/law enforcement if needed.

Key Insight: Exits must be **managed** and **documented**.

Q5: Data Quality Importance

Topic: Data Quality, Integrity, Access

Why is data quality important in AFC compliance?

Correct Answer: Poor data quality leads to false positives, missed detections, and regulatory penalties.

Core Concept: **GIGO** Garbage In, Garbage Out. Data quality dimensions:
Accuracy: Data correctly represents reality.
Completeness: All required data is present.
Consistency: Data is consistent across systems.
Timeliness: Data is current and up-to-date.

× **Common Trap:** "Automated systems compensate for poor data quality" INCORRECT. Systems are **only as good** as their data inputs.

Key Insight: Under **BCBS 239**, banks must have effective data quality controls.

Q6: Data Integrity

Topic: Data Integrity

What is data integrity in the AFC context?

Correct Answer: Ensuring that data is accurate, complete, and has not been altered or corrupted.

Key Insight: Data integrity is essential for **regulatory reporting**.

Q7: Data Access Controls

Topic: Data Access

What data access controls are needed in AFC?

Correct Answer: Role-based access controls, segregation of duties, and audit trails.

Key Insight: Access controls prevent **unauthorized** data use.

Q8: Data Definitions and Taxonomy

Topic: Data Definitions

Why is a common data taxonomy important in AFC?

Correct Answer: A common taxonomy ensures consistent data interpretation across systems and teams.

Key Insight: A data dictionary provides **consistent definitions**.

Q9: Customer Experience and Friction

Topic: Customer Experience

How can institutions balance compliance with customer experience?

Correct Answer: By applying a risk-based approach with proportionate friction lower friction for low-risk customers, higher for high-risk.

Core Concept:
Low-Risk Customers: Simplified onboarding, minimal friction.
Standard Customers: Standard CDD, reasonable friction.
High-Risk Customers: Enhanced due diligence, higher friction.

× **Common Trap:** "All customers should have the same onboarding experience" INCORRECT. A risk-based approach requires **differentiated** experiences.

Key Insight: Risk-based friction balances compliance and experience.

Q10: Digital Onboarding Experience

Topic: Digital Onboarding

How can digital onboarding improve customer experience?

Correct Answer: By enabling remote, fast, and convenient onboarding with minimal manual intervention.

Key Insight: Digital onboarding is **expected** by modern customers.

Q11: Friction in High-Risk Scenarios

Topic: Friction

When should institutions increase friction for customers?

Correct Answer: For high-risk customers, complex transactions, or when red flags are identified.

Key Insight: Friction is a **control** for high-risk situations.

Q12: Risk-Based Authentication

Topic: Risk-Based Authentication

What is risk-based authentication?

Correct Answer: Authentication that prompts additional checks only when user behavior deviates from expectations.

Key Insight: RBA **optimizes** user experience while maintaining security.

Q13: Digital Onboarding Solutions

Topic: Digital Onboarding

What are the latest digital onboarding solutions for KYC?

Correct Answer: E-KYC, digital identity verification, facial recognition, liveness detection, biometrics, and geolocation.

Core Concept:
E-KYC: Electronic identity verification.
Digital Identity: Verified digital credentials.
Facial Recognition: Comparing selfie to ID photo.
Liveness Detection: Ensuring the person is physically present.
Biometrics: Fingerprint, voice, or facial recognition.
Geolocation: Verifying location matches profile.

Key Insight: Multi-factor authentication is **essential** for robust identity verification.

Q14: E-KYC

Topic: E-KYC

What is E-KYC?

Correct Answer: Electronic Know Your Customer digital identity verification using electronic documents and identity databases.

Key Insight: E-KYC enables **remote** onboarding.

Q15: Facial Recognition and Liveness

Topic: Facial Recognition

How does liveness detection work in facial recognition?

Correct Answer: It analyzes subtle facial movements to confirm the person is physically present and not using a photo or video.

Key Insight: Liveness detection prevents **spoofing** attacks.

Q16: Biometrics in Onboarding

Topic: Biometrics

What biometric methods are used in customer onboarding?

Correct Answer: Fingerprint scanning, facial recognition, voice recognition, and behavioral biometrics.

× **Common Trap:** "Biometrics are completely secure and cannot be compromised" INCORRECT. Biometrics can be **stolen** and cannot be reset.

Key Insight: Biometric data must be **protected** like any other personal data.

Q17: External Data Sources for KYC

Topic: External Data Sources

What external data sources are used for KYC and screening?

Correct Answer: Credit reference agencies, beneficial ownership registers, adverse media, criminal records, and government identity checks.

Core Concept:
Credit Reference Agencies: Verify identity and financial history.
Beneficial Ownership Registers: Identify ultimate owners.
Adverse Media: Search for negative news.
Criminal Records: Check for criminal history.
Government Identity Checks: Verify against official records.

Key Insight: External sources provide **third-party validation** of customer information.

Q18: Automated vs Manual Data Sources

Topic: Automated vs Manual

What is the difference between automated and manual external data sources?

Correct Answer: Automated sources are queried in real-time via APIs; manual sources require human intervention to access.

Key Insight: Automation improves **efficiency** and **speed**.

Q19: Beneficial Ownership Registers

Topic: BO Registers

How are beneficial ownership registers used in KYC?

Correct Answer: To identify the ultimate beneficial owners of legal entities and verify their identities.

Key Insight: BO registers support **transparency** and **CDD**.

Q20: Government Identity Checks

Topic: Government Checks

What are government identity checks used for in KYC?

Correct Answer: To verify the authenticity of identity documents against official government records.

Key Insight: Government checks provide **authoritative** verification.

Q21: Name and Customer Screening

Topic: Name Screening

What is name screening in the AFC context?

Correct Answer: The process of checking customer names against sanctions lists, watchlists, and other risk databases.

Core Concept: Screening sources:
UN Sanctions Lists: Global sanctions.
OFAC SDN List: US sanctions.
EU Sanctions Lists: EU sanctions.
PEP Lists: Politically exposed persons.
Internal Watchlists: Institution-specific.

Key Insight: Screening should be **real-time** for onboarding.

Q22: Sanctions Lists Used

Topic: Sanctions Lists

What sanctions lists are commonly used for customer screening?

Correct Answer: UN sanctions lists, OFAC SDN List, EU sanctions lists, and other internal and external watchlists.

Key Insight: Institutions must screen against **all applicable** lists.

Q23: Internal and External Watchlists

Topic: Watchlists

What is the difference between internal and external watchlists?

Correct Answer: External watchlists are from regulators/governments; internal watchlists are created by the institution based on previous investigations.

Key Insight: Internal watchlists capture **institution-specific** risks.

Q24: Fraud and TF Watchlists

Topic: Fraud/TF Lists

What are fraud and terrorist financing watchlists?

Correct Answer: Lists identifying known fraudsters, terrorist financiers, and associated entities that should be screened against.

Key Insight: These lists are **essential** for fraud and TF detection.

Q25: Periodic Refresh and Perpetual KYC

Topic: Perpetual KYC

What is the difference between periodic refresh and perpetual KYC?

Correct Answer: Periodic refresh is conducted at fixed intervals; perpetual KYC is triggered by real-time data changes and events.

Core Concept:
Periodic Refresh: Annual or biennial reviews.
Perpetual KYC: Continuous monitoring with trigger-based reviews.
Prioritization: High-risk customers reviewed more frequently.
AI/ML: Automates data monitoring and event detection.

× **Common Trap:** "Perpetual KYC replaces all periodic reviews" INCORRECT. Perpetual KYC **complements** periodic reviews.

Key Insight: Perpetual KYC enables **real-time** risk detection.

Q26: Prioritization in KYC Refresh

Topic: Prioritization

How should KYC refresh be prioritized?

Correct Answer: By applying a risk-based approach higher-risk customers refreshed more frequently than lower-risk customers.

Key Insight: Prioritization ensures resources are **allocated efficiently**.

Q27: AI/ML in Perpetual KYC

Topic: AI/ML in PKYC

How does AI/ML support perpetual KYC?

Correct Answer: By automatically monitoring for data changes, identifying risk triggers, and prioritizing reviews.

Key Insight: AI/ML enables **scalable** perpetual KYC.

Q28: Trigger-Based Reviews

Topic: Trigger-Based Reviews

What triggers a customer review in perpetual KYC?

Correct Answer: Significant changes in behavior, new risk indicators, regulatory updates, or system alerts.

Key Insight: Triggers are **event-driven**, not schedule-driven.

Q29: Adverse Media Screening Tools

Topic: Adverse Media

What are adverse media screening tools?

Correct Answer: Tools that search for negative news about customers, including criminal activity, corruption, and regulatory issues.

Core Concept: Adverse media sources:
Global News: Reuters, Bloomberg, BBC.
Regulatory Databases: Enforcement actions.
Court Records: Legal proceedings.
Specialized Databases: Risk intelligence providers.

Key Insight: Adverse media is a **critical** component of CDD and EDD.

Q30: AI/ML in Adverse Media

Topic: AI/ML Adverse Media

How does AI/ML improve adverse media screening?

Correct Answer: By automating search across multiple sources, identifying relevant articles, and reducing false positives.

Key Insight: AI/ML enables **comprehensive** and **efficient** adverse media screening.

Q31: Adverse Media Red Flags

Topic: Red Flags

What are red flags in adverse media screening?

Correct Answer: Articles about fraud, corruption, sanctions violations, regulatory fines, or criminal charges.

Key Insight: Red flags trigger **EDD** or **investigation**.

Q32: Continuous Adverse Media Monitoring

Topic: Continuous Monitoring

Why is continuous adverse media monitoring important?

Correct Answer: Customer risk profiles can change quickly based on new adverse information.

Key Insight: Continuous monitoring detects emerging risks.

Q33: Batch Screening for Sanctions

Topic: Batch Screening

What is batch screening for sanctions?

Correct Answer: Processing the entire customer database against sanctions lists in bulk, typically on a periodic basis.

Core Concept:
Batch Screening: Periodic, volume-oriented screening.
Real-Time Screening: Individual screening at point of interaction.
Hybrid Approach: Both batch and real-time screening.

✗ **Common Trap:** "Batch screening replaces real-time screening" INCORRECT. Both are **complementary**.

Key Insight: Batch screening detects **changes** in customer risk status.

Q34: Fuzzy Logic in Screening

Topic: Fuzzy Logic

What is fuzzy logic in sanctions screening?

Correct Answer: Matching logic that accounts for name variations, spelling differences, and typos to identify potential matches.

Key Insight: Fuzzy logic reduces **false negatives** from name variations.

Q35: AI/ML in Sanctions Screening

Topic: AI/ML Screening

How does AI/ML improve sanctions screening?

Correct Answer: By reducing false positives, improving match accuracy, and learning from investigator decisions.

Key Insight: AI/ML **improves** screening over time.

Q36: List Management

Topic: List Management

What is list management in sanctions screening?

Correct Answer: The process of maintaining, updating, and managing sanctions lists and watchlists used for screening.

Key Insight: Lists must be **current** and **accurate**.

Q37: Transaction/Payment Screening

Topic: Transaction Screening

What is transaction/payment screening?

Correct Answer: Real-time screening of payment messages against sanctions lists, watchlists, and other risk databases.

Core Concept: Payment message types:
SWIFT: Financial messaging network.
Blockchain Transactions: Cryptoasset transfers.
Payment Systems: ACH, SEPA, Fedwire.

Key Insight: Transaction screening is **critical** for sanctions compliance.

Q38: SWIFT Payment Screening

Topic: SWIFT

How does SWIFT payment screening work?

Correct Answer: SWIFT messages are screened for sanctioned parties, restricted entities, and suspicious patterns.

Key Insight: SWIFT messages contain **structured data** for screening.

Q39: Blockchain Transaction Screening

Topic: Blockchain Screening

What are the challenges in screening blockchain transactions?

Correct Answer: Pseudonymity, use of privacy coins, mixers, and rapid movement across addresses.

Key Insight: Blockchain analytics tools address these **challenges**.

Q40: AI/ML in Transaction Screening

Topic: AI/ML Transaction Screening

How does AI/ML improve transaction screening?

Correct Answer: By detecting patterns, reducing false positives, and identifying emerging typologies.

Key Insight: AI/ML **adapts** to evolving criminal methods.

Q41: Rules-Based Transaction Monitoring

Topic: Rules-Based TM

What is rules-based transaction monitoring?

Correct Answer: Monitoring that uses predefined rules and thresholds to identify potentially suspicious transactions.

Core Concept: TM components:
Customer Segmentation: Grouping by risk profile.
Scenario Coverage: Rules for different risk types.
Threshold Setting: Trigger points for alerts.
Statistical Testing: Above The Line (ATL) / Below The Line (BTL).

✗ **Common Trap:** "More alerts mean better compliance" INCORRECT. **Quality** of alerts matters more than quantity.

Key Insight: Rules-based TM is the **foundation** of monitoring programs.

Q42: Customer Segmentation

Topic: Segmentation

Why is customer segmentation important in TM?

Correct Answer: Different customer segments have different risk profiles and require different monitoring thresholds.

Key Insight: Segmentation enables **proportionate** monitoring.

Q43: Threshold Setting and Tuning

Topic: Threshold Setting

How are TM thresholds set and tuned?

Correct Answer: Through statistical analysis, testing (ATL/BTL), and regular tuning based on alert productivity metrics.

Key Insight: Tuning is an **iterative** process.

Q44: Model Risk Management

Topic: Model Risk

What is model risk management in AFC?

Correct Answer: Governance and controls over models used for AML, including monitoring, validation, and documentation.

Key Insight: Under **SR 11-7**, banks must have model risk management.

Q45: Transitioning to AI/ML Tools

Topic: AI/ML Transition

How can institutions transition from rules-based to AI/ML-based monitoring?

Correct Answer: Gradual transition starting with hybrid approaches, then moving to primary and secondary AI/ML tools.

Core Concept: Transition stages:
Stage 1: Rules-based primary, AI/ML secondary.
Stage 2: AI/ML primary, rules-based secondary.
Stage 3: Fully AI/ML-driven monitoring.

Key Insight: Transition should be **phased** and **validated**.

Q46: Primary AI/ML Tools

Topic: Primary AI/ML

What are primary AI/ML tools in AFC?

Correct Answer: Machine learning models that detect patterns and anomalies without predefined rules.

Key Insight: Primary AI/ML **learns** from data.

Q47: Secondary AI/ML Tools

Topic: Secondary AI/ML

What are secondary AI/ML tools in AFC?

Correct Answer: ML models that enhance rules-based systems by reducing false positives and prioritizing alerts.

Key Insight: Secondary AI/ML **augments** existing systems.

Q48: Transition Challenges

Topic: Transition Challenges

What are challenges in transitioning to AI/ML tools?

Correct Answer: Data quality, model validation, explainability, and regulatory acceptance.

Key Insight: Explainability is critical for regulatory acceptance.

Q49: Investigations Open Source Tools

Topic: Investigations

What open-source tools are used in AFC investigations?

Correct Answer: Public records searches, social media monitoring, company registers, and OSINT tools.

Core Concept: OSINT sources:
Public Records: Court documents, property records.
Social Media: LinkedIn, Facebook, Twitter.
Company Registers: Corporate ownership information.
News: Current and historical articles.

Key Insight: OSINT provides **valuable context** for investigations.

Q50: Automation in Investigations

Topic: Automation

How does automation support AFC investigators?

Correct Answer: By automating data gathering, analysis, and workflow management to improve efficiency.

Key Insight: Automation allows investigators to focus on **high-value** work.

Q51: AI/ML in Investigations

Topic: AI/ML in Investigations

How does AI/ML support AFC investigations?

Correct Answer: By identifying patterns, connecting data points, and prioritizing leads.

Key Insight: AI/ML **augments** human investigators.

Q52: Investigation Workflow Tools

Topic: Workflow Tools

What workflow tools support AFC investigations?

Correct Answer: Case management systems, workflow automation, and collaboration tools.

Key Insight: Workflow tools ensure **consistency** and **completeness**.

Q53: Network Analysis Tools

Topic: Network Analysis

What are network analysis tools in AFC?

Correct Answer: Tools that visualize and analyze connections between entities to identify criminal networks.

Core Concept: Network analysis:
Node Analysis: Identifying key entities.
Link Analysis: Identifying connections.
Clustering: Identifying groups.
Visualization: Visual representation of networks.

Key Insight: Network analysis reveals **hidden connections**.

Q54: Identifying Criminal Links

Topic: Criminal Links

How do network analysis tools identify links to criminality?

Correct Answer: By connecting entities through shared addresses, transactions, phone numbers, and other relationships.

Key Insight: Connections reveal **suspicious relationships**.

Q55: AI/ML in Network Analysis

Topic: AI/ML Network Analysis

How does AI/ML improve network analysis?

Correct Answer: By detecting hidden patterns and relationships that human analysts might miss.

Key Insight: AI/ML **augments** human pattern recognition.

Q56: Clustering in Network Analysis

Topic: Clustering

What is clustering in network analysis?

Correct Answer: Grouping entities that share common characteristics, indicating potential criminal networks.

Key Insight: Clustering reveals **shared patterns**.

Q57: Privacy and Data Protection Technologies

Topic: Privacy Technologies

What technologies help navigate privacy and data protection rules in AFC?

Correct Answer: Data anonymization, pseudonymization, differential privacy, and secure multi-party computation.

Core Concept:
Anonymization: Removing identifiers.
Pseudonymization: Replacing identifiers with tokens.
Differential Privacy: Adding noise to prevent re-identification.
Secure MPC: Computing without revealing data.

✗ **Common Trap:** "Privacy technologies are not needed for AML compliance" INCORRECT. AML data processing **must** comply with privacy laws.

Key Insight: Privacy technologies enable **data protection** while maintaining effectiveness.

Q58: GDPR-Compliant AFC Tools

Topic: GDPR Compliance

What features should GDPR-compliant AFC tools have?

Correct Answer: Data minimization, purpose limitation, access controls, and audit trails.

Key Insight: GDPR applies to **all** personal data processing.

Q59: Data Minimization in Tools

Topic: Data Minimization

How is data minimization applied in AFC tools?

Correct Answer: Collecting and processing only the data necessary for the specific AFC purpose.

Key Insight: Minimization reduces **privacy risk**.

Q60: Cross-Border Data Transfers

Topic: Cross-Border Transfers

How do AFC tools handle cross-border data transfers?

Correct Answer: Using appropriate safeguards such as Standard Contractual Clauses or adequacy decisions.

Key Insight: Transfers must be **legally compliant**.

Q61: Choosing the Best AFC Tool

Topic: Choosing Tools

What should organizations consider when choosing an AFC tool?

Correct Answer: Risk profile, institutional size, existing systems, budget, regulatory requirements, and scalability.

Core Concept: Selection criteria:
Functionality: Does it meet requirements?
Integration: Can it connect to existing systems?
Scalability: Will it grow with the institution?
Cost: Is it cost-effective?
Vendor Support: Is support available?

✗ **Common Trap:** "The most expensive tool is always the best" INCORRECT. The **right** tool depends on the **institution's needs**.

Key Insight: Tool selection should be **needs-driven**.

Q62: Integration Considerations

Topic: Integration

What should be considered when integrating AFC tools?

Correct Answer: Data mapping, system compatibility, data quality, and change management.

Key Insight: Integration is a **critical success factor**.

Q63: Vendor Assessment

Topic: Vendor Assessment

What should be assessed when evaluating AFC tool vendors?

Correct Answer: Vendor reputation, financial stability, security posture, and compliance track record.

Key Insight: Vendor assessment **mitigates** third-party risk.

Q64: Proof of Concept

Topic: Proof of Concept

Why should organizations conduct a proof of concept (POC) for AFC tools?

Correct Answer: To validate the tool's effectiveness, integration, and fit with institutional requirements.

Key Insight: A POC **mitigates** implementation risk.

Q65: Operational Effectiveness

Topic: Operational Effectiveness

What is operational effectiveness in AFC compliance?

Correct Answer: Ensuring AFC controls are efficient and achieve their intended purpose without waste.

Core Concept: Effectiveness dimensions:
Detection: Identifying suspicious activity.
Efficiency: Minimizing false positives.
Cost-Effectiveness: Achieving results within budget.
Resource Utilization: Using resources optimally.

Key Insight: Effective controls are **efficient** controls.

Q66: Resource Prioritization

Topic: Resource Prioritization

How should resources be prioritized in AFC compliance?

Correct Answer: By applying a risk-based approach that allocates resources to the highest-risk areas.

Key Insight: **High-risk** areas get more resources.

Q67: Investment in AFC Tools

Topic: Investment

How should institutions prioritize investment in AFC tools?

Correct Answer: Based on risk assessment, regulatory requirements, and cost-benefit analysis.

Key Insight: Investment should be **risk-driven**.

Q68: Measuring Effectiveness

Topic: Measuring Effectiveness

How is the effectiveness of AFC tools measured?

Correct Answer: Through KPIs, KRIs, alert productivity metrics, and regulatory feedback.

Key Insight: Measurement enables **continuous improvement**.

SUMMARY: Key Principles Domain D

Tools and Technologies to Fight Financial Crime:

Concept	Application
Lifecycle Tools	Onboarding, ongoing, exit controls
Data Quality	Accuracy, completeness, consistency, timeliness
Customer Experience	Risk-based friction; RBA
Digital Onboarding	E-KYC, facial recognition, liveness, biometrics
External Data Sources	Credit agencies, BO registers, adverse media
Name/Sanctions Screening	UN, OFAC, EU, watchlists, fuzzy logic
Perpetual KYC	Real-time, trigger-based, risk-prioritized
Adverse Media	OSINT, AI/ML, continuous monitoring
Batch Screening	Periodic, volume-oriented, list management
Transaction Screening	SWIFT, blockchain, AI/ML
Rules-Based TM	Segmentation, thresholds, ATL/BTL, model risk
AI/ML Transition	Hybrid primary fully AI-driven
Investigations	OSINT, automation, workflow tools
Network Analysis	Link analysis, clustering, visualization
Privacy Technologies	Anonymization, pseudonymization, differential privacy
Tool Selection	Needs-driven, integration, POC
Operational Effectiveness	Risk-based, efficient, measured

FINAL LESSON: Domain D tests understanding of **how technology supports AFC** from onboarding to ongoing monitoring to investigations. Understand the *tools* and the *answers* become obvious.

EXAM TIPS Domain D

Common Traps to Avoid:

- **Data Quality**: GIGO systems are only as good as their data.
- **Perpetual KYC**: **Complements** periodic reviews, does not replace them.
- **Batch vs Real-Time**: **Complementary**, not substitutes.
- **More Alerts**: More alerts better compliance **quality** matters.
- **Fuzzy Logic**: Reduces **false negatives**, not false positives.
- **AI/ML Transition**: Gradual, **phased**, and **validated**.
- **Privacy**: AML does not exempt institutions from **GDPR**.
- **Tool Selection**: **Needs-driven**, not vendor-driven.
- **Network Analysis**: Reveals **hidden connections** between entities.
- **Model Risk**: Under **SR 11-7**, models must be validated.

Key Insight: Focus on understanding the *role* of each technology and *when* it should be applied.

Thank You

Keep learning. Keep growing.

Technology is a powerful enabler of AFC compliance when applied correctly. End of Domain D Review 75 Slides